CERGE EI

Instructor: **Konuray Mutluer / Yaroslav Korobka**[1] Updated: October 30, 2026

Course: **Statistics**

1 Basic probability theory

Exercise 1.1. For each of the following experiments, describe the sample space.

(a) Toss a coin four times.

(b) Count the number of insect-damaged leaves on a plant.

(c) Measure the lifetime (in hours) of a particular brand of light bulb.

(d) Record the weights of 10-day-old rats.

(e) Observe the proportion of defectives in a shipments of electronic components.

Solution. The sample space S is the set of all possible outcomes.

(a) For each coin toss in the series we receive either Head (H) or Tail (T). The example of the realization of the series of four tosses: THHH, meaning 1st toss gives T and the remaining tosses give H. The sample space S is the set of all such combinations. The cardinality of this set is $2^4 = 16$: on each position (toss) we have either T or H (2 options) and we observe four positions.

(b) The number of leaves should be a nonnegative integer. Thus, $S = \{0, 1, 2, 3, \ldots\}$.

(c) The lifetime may be less than an hour or some integer number of hours plus the remaining fraction of an hour. Moreover, the lifetime cannot be negative. Thus, $S = (0, T]$ for some constant $T < \infty$.

(d) Consider grams. Then we may say $S = (0, \infty)$. We may also define some upper bound, for example K. Then $S = (0, K]$.

(e) Define n to be the number of items in the shipment. Since we need a proportion, the sample space is $S = \{\frac{0}{n}, \frac{1}{n}, \frac{2}{n}, \frac{3}{n}, \ldots, \frac{n}{n}\}$.

Exercise 1.2. Verify the following identities:

(a) $A \setminus B = A \setminus (A \cap B) = A \cap B^c$

(b) $B = (B \cap A) \cup (B \cap A^c)$

(c) $B \setminus A = B \cap A^c$

(d) $A \cup B = A \cup (B \cap A^c)$

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Solution. When working with set expressions, Venn diagrams might be useful. However, the illustration does not constitute a formal proof and thus is not sufficient as an answer. To prove that the expression is true, it is necessary to explicitly show both directions: if $x \in$ lhs (left-hand side) then $x \in$ rhs (right-hand side) *and* if $x \in$ rhs then $x \in$ lhs.

(a) $A \setminus B \iff x \in A$ and $x \notin B \iff x \in A$ and $x \notin A \cap B \iff x \in A \setminus (A \cap B)$. At the same time, $x \in A$ and $x \notin B \iff x \in A$ and $x \in B^c \iff x \in A \cap B^c$.

(b) By definition $A \cup A^c = S$. Then using the Distributive Law $(B \cap A) \cup (B \cap A^c) = B \cap (A \cup A^c) = B \cap S = B$.

(c) $B \setminus A \iff x \in B$ and $x \notin A \iff x \in B$ and $x \in A^c \iff x \in B \cap A^c$.

(d) $A \cup B = A \cup [(B \cap A) \cup (B \cap A^c)] = A \cup (B \cap A) \cup A \cup (B \cap A^c) = A \cup [A \cup (B \cap A^c)] = A \cup (B \cap A^c)$.

Exercise 1.3. For events A and B, find formulas for the probabilities of the following events in terms of the quantities $\mathbb{P}(A)$, $\mathbb{P}(B)$, and $\mathbb{P}(A \cap B)$:

(a) either A or B or both,

(b) either A or B but not both,

(c) at least one of A or B,

(d) at most one of A or B.

Solution.

(a) "either A or B or both" means $A \cup B$, so we have

$$\mathbb{P}(A \cup B) = \mathbb{P}(A) + \mathbb{P}(B) - \mathbb{P}(A \cap B).$$

This is because $A \cup B = A \cup (B \cap A^c)$ (see previous exercise), from it $\mathbb{P}(A \cup B) = \mathbb{P}(A \cup (B \cap A^c)) = \mathbb{P}(A) + \mathbb{P}(B \cap A^c) = \mathbb{P}(A) + \mathbb{P}(B) - \mathbb{P}(A \cap B)$. In the last expression, the second equality uses the fact that A and $B \cap A^c$ are disjoint; the last equality comes from rearranging $\mathbb{P}(B) = \mathbb{P}((B \cap A) \cup (B \cap A^c)) = \mathbb{P}(B \cap A) + \mathbb{P}(B \cap A^c)$. It is easier to draw the diagram and note the fact that we count the area of the intersection two times if we do not subtract $\mathbb{P}(A \cap B)$.

(b) "either A or B but not both" is $(A \cap B^c) \cup (B \cap A^c)$, so we have

$$\begin{aligned}\mathbb{P}((A \cap B^c) \cup (B \cap A^c)) &= \mathbb{P}(A \cap B^c) + \mathbb{P}(B \cap A^c) \\ &= [\mathbb{P}(A) - \mathbb{P}(A \cap B)] + [\mathbb{P}(B) - \mathbb{P}(B \cap A)] \\ &= \mathbb{P}(A) + \mathbb{P}(B) - 2\mathbb{P}(A \cap B).\end{aligned}$$

The easy way is to draw a diagram and note that this probability is equal to $\mathbb{P}(A \cup B) - \mathbb{P}(A \cap B)$.

(c) "at least one of A or B" is $A \cup B$, so we have

$$\mathbb{P}(A \cup B) = \mathbb{P}(A) + \mathbb{P}(B) - \mathbb{P}(A \cap B).$$

(d) "at most one of A or B" is $(A \cap B)^c$, so we have

$$\mathbb{P}((A \cap B)^c) = 1 - \mathbb{P}(A \cap B).$$

Note that this event also includes the possibility of not A and not B.

Exercise 1.4. Consider two different setups:

(a) A fair dice is cast until a 6 appears. What is the probability that it must be cast more than five times?

(b) A pair of events A and B cannot be simultaneously mutually exclusive and independent. Prove that if $\mathbb{P}(A) > 0$ and $\mathbb{P}(B) > 0$, then:

- if A and B are mutually exclusive, they cannot be independent,
- if A and B are independent, they cannot be mutually exclusive.

Solution.

(a) It must be cast more than five times if we do not observe the appearance of 6 on first five casts. We do not observe 6 on each cast with probability 5/6. Since casts of a die are independent the probability to not receive 6 in first five casts is $(5/6)^5 \approx 0.4$.

(b)
- Let A and B be mutually exclusive. Suppose, for the sake of contradiction, that A and B are independent, then $\mathbb{P}(A \cap B) = \mathbb{P}(A)\mathbb{P}(B)$. However, from the initial property $A \cap B = \emptyset$ and $\mathbb{P}(A \cap B) = 0$ (mutually exclusive). Since we are given events A and B with positive probabilities, we come to a contradiction $\mathbb{P}(A \cap B) = \mathbb{P}(A)\mathbb{P}(B) = 0$ with $\mathbb{P}(A) > 0$ and $\mathbb{P}(B) > 0$. Thus, mutually exclusive events cannot be independent.
- Independence of A and B together with $\mathbb{P}(A) > 0$ and $\mathbb{P}(B) > 0$ gives $\mathbb{P}(A \cap B) = \mathbb{P}(A)\mathbb{P}(B) > 0$. It means that $A \cap B \neq \emptyset$. Therefore, A and B are not mutually exclusive by definition. Thus, independent events cannot be mutually exclusive.

Exercise 1.5. Two coins, one with $\mathbb{P}(\text{head}) = u$ and one with $\mathbb{P}(\text{head}) = w$, are to be tossed together independently. Let

$$p_0 = \mathbb{P}(0 \text{ heads occur}), \quad p_1 = \mathbb{P}(1 \text{ heads occur}), \quad p_2 = \mathbb{P}(2 \text{ heads occur}).$$

Can u and w be chosen such that $p_0 = p_1 = p_2$? Prove your answer.

Solution. Start with probabilities: $p_0 = (1-u)(1-w)$, that is, first is T and second is T; $p_1 = (1-u)w + u(1-w)$, that is, first is T and second is H or first is H and second is T; and $p_2 = uw$, that is, both are H. Equating these probabilities, we receive

$$p_0 = p_2 \Rightarrow u + w = 1, \quad p_1 = p_2 \Rightarrow uw = \frac{w+u}{3}.$$

These together imply

$$u(1-u) = \frac{1}{3}.$$

This equation has no solution in the real numbers (more specifically, the right-hand side must be $\leq \frac{1}{4}$ for the solution in real numbers to exist). Thus, we cannot choose legitimate u and w to satisfy the conditions.

Exercise 1.6. Consider telegraph signals "dot" and "dash" sent in the proportion 3:4, where erratic transmissions cause a dot to become a dash with probability 1/4 and a dash to become a dot with probability 1/3.

(a) If a dash is received, what is the probability that a dash has been sent? If a dot is received, what is the probability that a dot has been sent?

(b) Assuming independence between signals, if the message dot-dot was received, what is the probability distribution of the four possible messages that could have been sent?

Solution. Let "DA" mean "dash", "DO" mean "dot", "R" mean "received", "S" mean "sent". From dot/dash 3:4 proportion we can calculate unconditional probabilities to observe dots and dashes:

$$\mathbb{P}(\text{dot sent}) := \mathbb{P}(\text{DOS}) = \frac{3}{3+4} = \frac{3}{7}, \quad \mathbb{P}(\text{dash sent}) := \mathbb{P}(\text{DAS}) = \frac{4}{3+4} = \frac{4}{7}.$$

From probabilities of mistakes we deduce other important objects, such as

$$\mathbb{P}(\text{DOR}|\text{DOS}) = 1 - \frac{1}{4} = \frac{3}{4}, \quad \mathbb{P}(\text{DAR}|\text{DAS}) = 1 - \frac{1}{3} = \frac{2}{3},$$

and

$$\mathbb{P}(\text{DOR}|\text{DAS}) = \frac{1}{3}, \quad \mathbb{P}(\text{DAR}|\text{DOS}) = \frac{1}{4}.$$

(a) Using the Bayes' rule, we calculate the following:

$$\begin{aligned}\mathbb{P}(\text{DAS}|\text{DAR}) &= \frac{\mathbb{P}(\text{DAR}|\text{DAS}) \cdot \mathbb{P}(\text{DAS})}{\mathbb{P}(\text{DAR}|\text{DAS}) \cdot \mathbb{P}(\text{DAS}) + \mathbb{P}(\text{DAR}|\text{DOS}) \cdot \mathbb{P}(\text{DOS})} \\ &= \frac{(\frac{2}{3})(\frac{4}{7})}{(\frac{2}{3})(\frac{4}{7}) + (\frac{1}{4})(\frac{3}{7})} = \frac{32}{41},\end{aligned}$$

which is precisely the probability that a dash has been sent if a dash is received. Next,

$$\begin{aligned}\mathbb{P}(\text{DOS}|\text{DOR}) &= \frac{\mathbb{P}(\text{DOR}|\text{DOS})\cdot\mathbb{P}(\text{DOS})}{\mathbb{P}(\text{DOR}|\text{DOS})\cdot\mathbb{P}(\text{DOS})+\mathbb{P}(\text{DOR}|\text{DAS})\cdot\mathbb{P}(\text{DAS})}\\ &= \frac{(\frac{3}{4})(\frac{3}{7})}{(\frac{3}{4})(\frac{3}{7})+(\frac{1}{3})(\frac{4}{7})} = \frac{27}{43},\end{aligned}$$

which is the probability that a a dot has been sent if a dot is received.

(b) We need yet another probability with DOR condition,

$$\begin{aligned}\mathbb{P}(\text{DAS}|\text{DOR}) &= \frac{\mathbb{P}(\text{DOR}|\text{DAS})\cdot\mathbb{P}(\text{DAS})}{\mathbb{P}(\text{DOR}|\text{DAS})\cdot\mathbb{P}(\text{DAS})+\mathbb{P}(\text{DOR}|\text{DOS})\cdot\mathbb{P}(\text{DOS})}\\ &= \frac{(\frac{1}{3})(\frac{4}{7})}{(\frac{1}{3})(\frac{4}{7})+(\frac{3}{4})(\frac{3}{7})} = \frac{16}{43}.\end{aligned}$$

Independence greatly simplifies calculations. We have DOR two times, so the possible signals sent with corresponding probabilities are,

$$\begin{aligned}\mathbb{P}(\text{DOS}|\text{DOR})\cdot\mathbb{P}(\text{DOS}|\text{DOR}) &= \frac{27}{43}\cdot\frac{27}{43},\\ \mathbb{P}(\text{DOS}|\text{DOR})\cdot\mathbb{P}(\text{DAS}|\text{DOR}) &= \frac{27}{43}\cdot\frac{16}{43},\\ \mathbb{P}(\text{DAS}|\text{DOR})\cdot\mathbb{P}(\text{DOS}|\text{DOR}) &= \frac{16}{43}\cdot\frac{27}{43},\\ \mathbb{P}(\text{DAS}|\text{DOR})\cdot\mathbb{P}(\text{DAS}|\text{DOR}) &= \frac{16}{43}\cdot\frac{16}{43},\end{aligned}$$

which is the final distribution we are looking for.

Exercise 1.7. Standardized tests provide an interesting application of probability theory. Suppose first that a test consists of 20 multiple-choice questions, each with 4 possible answers. If the student guesses on each question, then the taking of the exam can be modeled as a sequence of 20 independent events. Find the probability that the student gets at least 10 questions correct, given that she is guessing.

2 Random variables

Exercise 2.1. Consider a random variable X with the following probability density function and $c < \infty$ being some constant:

$$f_X(x) = \begin{cases} cx(1-x), & \text{if } x \in (0,1)\\ 0, & \text{otherwise.}\end{cases}$$

(a) Determine the value of the parameter c that makes $f_X(x)$ a pdf. Derive the cumulative density function (cdf) of X.

(b) Derive mean, variance, skewness, and kurtosis of X.

(c) Consider another random variable $Y = X^3$, and derive its pdf.

(d) Derive mean, variance, skewness, and kurtosis of Y.

(e) For $g(x) = x^3$ compare $\mathbb{E}[g(X)]$ and $g(\mathbb{E}[X])$. What about $z(x) = x^{\frac{1}{3}}$?

(f) Determine the value of c that makes $f(x) = c \cdot e^{-|x|}$, $-\infty \le x \le \infty$ a pdf.

Solution.

(a) By the definition of the pdf,

$$\int_0^1 x(1-x)dx = \int_0^1 (x-x^2)dx = \int_0^1 xdx - \int_0^1 x^2dx$$
$$= \frac{x^2}{2}\Big|_0^1 - \frac{x^3}{3}\Big|_0^1 = \frac{1}{2} - 0 - \frac{1}{3} + 0 = \frac{1}{6}.$$

Thus, we need $c = 6$ for the pdf to integrate to 1 over the entire support.

By the definition of the cdf,

$$F_X(x) = \int_0^x 6x(1-x)dx$$
$$= 6\left(\frac{x^2}{2}\Big|_0^x - \frac{x^3}{3}\Big|_0^x\right) = 6\left(\frac{3x^2-2x^3}{6}\right) = 3x^2 - 2x^3,$$

so that

$$F_X(x) = \begin{cases} 1, & \text{if } x \geq 1, \\ 3x^2 - 2x^3, & \text{if } x \in (0,1), \\ 0, & \text{if } x \leq 0. \end{cases}$$

(b) Again by the definition, we derive

- mean: $\mathbb{E}[X] = \int_{-\infty}^{\infty} x f_X(x)dx = \int_0^1 6x^2(1-x)dx = 6\left(\frac{x^3}{3}\Big|_0^1 - \frac{x^4}{4}\Big|_0^1\right) = 6\left(\frac{1}{3} - \frac{1}{4}\right) = 0.5,$
- variance[2]: $\text{var}[X] = \mathbb{E}[(X - \mathrm{E}[X])^2] = \mathbb{E}[X^2] - \mathbb{E}[X]^2 = 0.3 - (0.5)^2 = 0.05$, because the second moment is
$$\mathbb{E}[X^2] = \int_0^1 6x^3(1-x)dx = 6\left(\frac{x^4}{4}\Big|_0^1 - \frac{x^5}{5}\Big|_0^1\right) = 6\left(\frac{1}{4} - \frac{1}{5}\right) = 0.3,$$
- skewness, κ_3, which is a rescaled version of the third *centered* moment:
$$\mathbb{E}[(X - \mathbb{E}[X])^3] = \int_0^1 (x - \mathbb{E}[x])^3 f_X(x)dx = \int_0^1 (x-0.5)^3 6x(1-x)dx$$
$$= 6\int_0^1 (x^3 - 1.5x^2 + 0.75x - 0.125)x(1-x)dx$$
$$= 6\left(-\frac{x^6}{6} + \frac{x^5}{2} - \frac{9x^4}{16} + \frac{7x^3}{24} - \frac{x^2}{16}\right)\Bigg|_0^1 = 0,$$

  so that the skewness is
$$\kappa_3 = \frac{\mathbb{E}[(X - \mathbb{E}[X])^3]}{(\mathbb{E}[(X - \mathbb{E}[X])^2])^{\frac{3}{2}}} = 0.$$
- kurtosis, κ_4, which is a rescaled version of the *forth* moment,
$$\mathbb{E}[(X - \mathbb{E}[X])^4] = \int_0^1 (x - \mathbb{E}[x])^4 f_X(x)dx = \int_0^1 (x-0.5)^4 6x(1-x)dx$$
$$= 6\left(-\frac{x^7}{7} + \frac{x^6}{2} - \frac{7x^5}{10} + \frac{x^4}{2} - \frac{3x^3}{16} + \frac{x^2}{32}\right)\Bigg|_0^1 \approx 0.005,$$

  so that the kurtosis is
$$\kappa_4 = \frac{\mathbb{E}[(X - \mathbb{E}[X])^4]}{(\mathbb{E}[(X - \mathbb{E}[X])^2])^2} \approx 2.14.$$

  Note that the skewness is equal to zero, the fact that follows from the symmetry of the distribution (important case is a normal distribution).

[2]Note that you can also proceed by the definition $\text{var}[X] = \int_0^1 (x - \mathbb{E}[x])^2 f_X(x)dx$.

If skewness is positive, the distribution is positively skewed or skewed right, meaning that the right tail of the distribution is longer than the left. If skewness is negative, the distribution is negatively skewed or skewed left, meaning that the left tail is longer. If skewness is zero, the distribution is symmetrical.

Kurtosis is a measure of the combined sizes of the two tails. If the kurtosis is greater than 3, then the distribution has heavier tails than a normal distribution. If the kurtosis is less than 3, then the distribution has lighter tails than a normal distribution. For a normal distribution we have kurtosis equal to 3. Note that kurtosis is always greater or equal to 0.

(c) Let us proceed by the definition of a cdf,

$$\begin{aligned} F_Y(y) &= \mathbb{P}(Y \le y) = \mathbb{P}(X^3 \le y) = \mathbb{P}(X \le y^{1/3}) \\ &= \int_0^{y^{1/3}} 6x(1-x)dx = (3x^2 - 2x^3)\Big|_0^{y^{1/3}} = 3y^{2/3} - 2y. \end{aligned}$$

Note that the support does not change, since $g(0) = 0$ and $g(1) = 1$. The full answer would be:

$$F_Y(y) = \begin{cases} 1, & \text{if } y \ge 1, \\ 3y^{2/3} - 2y, & \text{if } y \in (0,1), \\ 0, & \text{if } y \le 0. \end{cases}$$

The first equality is the definition; the second equality uses the transformation $g(x) = x^3$; the third inequality applies the inverse $g^{-1}(x) = x^{1/3}$ which is increasing on the support of X $(0,1)$ (and thus, preserves the order); the fourth inequality is again a definition.

Using the definition, we can also calculate the pdf,

$$f_Y(y) = \frac{dF_Y(y)}{dy} = 2y^{-1/3} - 2,$$

for $y \in (0,1)$ and 0 otherwise.

(d) Again by the definition,

- mean: $\mathbb{E}[Y] = \int_{-\infty}^{\infty} y f_Y(y)dy = 0.2$,
- variance: $\operatorname{var}[Y] = \int_{-\infty}^{\infty} (y - \mathbb{E}[y])^2 f_Y(y)dy = \dfrac{13}{300} \approx 0.04$,
- skewness: $\kappa_3[Y] = \dfrac{\mathrm{E}[(X - \mathrm{E}[X])^3]}{\mathrm{E}[(X - \mathrm{E}[X])^2]^{\frac{3}{2}}} = \dfrac{\frac{63}{5500}}{(\frac{13}{300})^{\frac{3}{2}}} \approx 1.27$,
- kurtosis: $\kappa_4[Y] = \dfrac{\mathrm{E}[(X - \mathrm{E}[X])^4]}{\mathrm{E}[(X - \mathrm{E}[X])^2]^2} = \dfrac{\frac{713}{96250}}{(\frac{13}{300})^2} \approx 3.95$.

(e) Here, the following result is useful:

Theorem 2.2 (Jensen's inequality)**.** *For any random variable X, if $g(x)$ is a convex function, then*

$$g(\mathbb{E}[X]) \le \mathbb{E}[g(X)].$$

If $g(x)$ is a concave function, the inequality is reversed.

Proof. We focus on the convex case. Let $a + bx$ be the tangent line to $g(x)$ at $x = \mathbb{E}[X]$. Since $g(x)$ is convex, $g(x) \ge a + bx$. Evaluating at $x = X$ and taking expectations, we find

$$\mathbb{E}[g(X)] \ge a + b\mathbb{E}[X] = g(\mathbb{E}[X])$$

as claimed. □

Now, we have

$$\mathbb{E}[g(X)] = \int_{-\infty}^{\infty} g(x) f_X(x) dx = \int_0^1 x^3 6x(1-x) dx = 0.2,$$
$$g(\mathbb{E}[X]) = g(0.5) = 0.5^3 = 0.125.$$

so $\mathbb{E}[g(X)] > g(\mathbb{E}[X])$ in line with Theorem 2.2.

For $z(x) = x^{1/3}$ we have

$$\mathbb{E}[z(X)] = \int_{-\infty}^{\infty} z(x) f_X(x) dx = \int_0^1 x^{1/3} 6x(1-x) dx \approx 0.77,$$
$$z(\mathbb{E}[X]) = z(0.5) = 0.5^{\frac{1}{3}} \approx 0.79,$$

so $\mathbb{E}[z(X)] < z(\mathbb{E}[X])$. It is, again, in line with Theorem 2.2 because $z(x)$ is concave.

(f) $\int_{-\infty}^{\infty} e^{-|x|} dx = \int_{-\infty}^{0} e^x dx + \int_0^{\infty} e^{-x} dx = 1 + 1 = 2$, so we need $c = \frac{1}{2}$ for pdf to integrate to 1 over the entire support. Non-negativity is obvious.

Exercise 2.3. In each of the following find the pdf of Y, and show that the resulting pdf is valid.

(a) $Y = X^3$ and $f_X(x) = 42x^5(1-x)$, $0 < x < 1$,

(b) $Y = 4X + 3$ and $f_X(x) = 7e^{-7x}$, $0 < x < \infty$,

(c) $Y = X^2$ and $f_X(x) = 30x^2(1-x)^2$, $0 < x < 1$.

Solution. Here, two following results are useful (we state them separately even though Theorem 2.5 is used in the proof of Theorem 2.4):

Theorem 2.4 (Monotonic transformation)**.** *If X has a pdf $f_X(x)$, $f_X(x)$ is continuous on its support $\mathcal{X}$, $g(x)$ is strictly monotone, and $g^{-1}(y)$ is continuously differentiable on $\mathcal{Y}$, then for $y \in \mathcal{Y}$*

$$f_Y(y) = f_X\left(g^{-1}(y)\right) J(y), \quad J(y) := \left| \frac{d}{dy} g^{-1}(y) \right|.$$

Theorem 2.5. *Let X and $Y = g(X)$ be two random variables, $\mathcal{X}$ and $\mathcal{Y}$ be their supports, and let $F_X(x)$ be the cdf of X.*

(a) If g is increasing in $\mathcal{X}$, we have $F_Y(y) = F_X(g^{-1}(y))$ for all $y \in \mathcal{Y}$.

(b) If g is decreasing in $\mathcal{X}$ and X is a continuous random variable, we have $F_Y(y) = 1 - F_X(g^{-1}(y))$ for all $y \in \mathcal{Y}$.

(a) We have that $y = g(x) = x^3$, $g'(x) = 3x^2$ so $g(x)$ is monotone and increasing. If $0 < x < 1$ then $[g(0) = 0] < [g(x) = y] < [g(1) = 1]$, thus $0 < y < 1$ is our new support. $g^{-1}(y) = y^{\frac{1}{3}}$, $\frac{d}{dy} g^{-1}(y) = \frac{1}{3} y^{-\frac{2}{3}}$.

Applying Theorem 2.4, we have

$$f_Y(y) = f_X\left(g^{-1}(y)\right) \left| \frac{d}{dy} g^{-1}(y) \right| = 42 y^{\frac{5}{3}} \left(1 - y^{\frac{1}{3}}\right) \left(\frac{1}{3} y^{-\frac{2}{3}}\right) = 14y - 14y^{\frac{4}{3}}$$

for $0 < y < 1$ and 0 otherwise. It is a valid pdf, since

$$\int_0^1 14y - 14y^{\frac{4}{3}} dy = 7y^2 - 6y^{\frac{7}{3}}|_0^1 = 1 - 0 = 1.$$

(b) An alternative way how to compute transformations is by using the cdf of the random variable. First, we derive the cdf as

$$F_X(x) = \int_0^x 7e^{-7x} dx = -e^{-7x}\Big|_0^x = -e^{-7x} + e^0 = 1 - e^{-7x},$$

and then $y = g(x) = 4x + 3$, $g'(x) = 4 > 0$ so $g(x)$ is monotone and increasing, and $g^{-1}(y) = \dfrac{y-3}{4}$. If $0 < x < \infty$ then $[g(0) = 3] < [g(x) = y] < [g(\infty) = \infty]$, thus $3 < y < \infty$ is our new support. Now apply Theorem 2.5 to get

$$F_Y(y) = F_X(g^{-1}(y)) = 1 - e^{-\frac{7}{4}(y-3)}$$

for $3 < y < \infty$. From here, we can differentiate to come to the pdf,

$$f_Y(y) = \frac{dF_Y(y)}{dy} = \frac{7}{4}e^{-\frac{7}{4}(y-3)}$$

for $3 < y < \infty$ and 0 otherwise. It is a valid pdf, since

$$\int_3^\infty \frac{7}{4}e^{-\frac{7}{4}(y-3)}dy = -e^{-\frac{7}{4}(y-3)}|_3^\infty = 0 - (-1) = 1.$$

(c) Yet another alternative, is to proceed "by definition": note that with $g(x) = x^2$ and $0 < x < 1$ we have $[g(0) = 0] < [g(x) = y] < [g(1) = 1]$, thus $0 < y < 1$ is our new support. By definition, $F_Y(y) = \mathbb{P}(Y < y) = \mathbb{P}(X < \sqrt{y}) = F_X(\sqrt{y})$. In this step we find a region in X such that $Y < y$ holds. Differentiate both sides with respect to y (come to pdfs) to receive

$$f_Y(y) = \frac{1}{2\sqrt{y}}f_X(\sqrt{y}) = \frac{1}{2\sqrt{y}}30(\sqrt{y})^2(1-\sqrt{y})^2 = 15y^{\frac{1}{2}}(1-y^{\frac{1}{2}})^2$$

for $0 < y < 1$ and 0 otherwise. It is a valid pdf, since

$$\int_0^1 15y^{\frac{1}{2}}(1-y^{\frac{1}{2}})^2dy = \int_0^1 15y^{\frac{1}{2}} - 30y + 15y^{\frac{3}{2}}dy = 15\frac{2}{3} - 30\frac{1}{2} + 15\frac{2}{5} = 1.$$

3 Parametric distributions

Exercise 3.1. Consider the following:

(a) Derive the moment-generating function (mgf) of the binomial $\mathcal{B}(n, p)$ distribution.

(b) It has been determined that 5% of drivers checked at a road stop show traces of alcohol and 10% of drivers do not wear seat belts. Assume that the two events are independent. If an officer stops five drivers at random: *(i)* calculate the probability that exactly three of the drivers have committed any one of the two offenses, *(ii)* calculate the probability that at least one of the drivers checked has committed at least one of the two offenses.

(c) Derive the mgf of Poisson(λ) distribution with parameter λ.

(d) Find mean and variance.

(e) Discuss the connection between Poisson(λ) and $\mathcal{B}(n, p)$.

(f) In the manufacture of glassware, bubbles can occur in the glass which reduces the status of the glassware to that of a low quality. If, on average, one in every 1000 items produced has a bubble, calculate the probability that exactly six items in a batch of three thousand are of a low quality.

Solution.

(a) First, note that the pmf of $\mathcal{B}(n, p)$ is $f(x) = C_n^x p^x (1-p)^{n-x}$, where $x \geq 0$ is an integer, and p is a probability of a success. The mgf is then

$$M_X(t) = \mathbb{E}[e^{tX}] = \sum_{x=0}^n e^{tx}C_n^x p^x(1-p)^{n-x} = \sum_{x=0}^n C_n^x(pe^t)^x(1-p)^{n-x} = (pe^t + (1-p))^n,$$

where the last equality uses the binomial formula $\sum_{x=0}^n C_n^x u^x v^{n-x} = (u+v)^n$ with $u = pe^t$ and $v = 1-p$. You can check that $\mathbb{E}[X] = np$ and $\text{var}[X] = np(1-p)$ by using this mgf.

(b) Denote X the number of drivers who have committed any one of the two offenses; A meaning a driver shows traces of alcohol, and B meaning a driver does not wear a seat belt. We have

$$\mathbb{P}(A \cup B) = \mathbb{P}(A) + \mathbb{P}(B) - \mathbb{P}(A \cap B) = 0.05 + 0.1 - 0.05 \cdot 0.1 = 0.145 := p.$$

n is 5 so we are having $\mathcal{B}(n = 5, p = 0.145)$. Then for *(i)*, we have $\mathbb{P}(X = 3) = C_5^3(0.145)^3(1-0.145)^{5-3} = 0.0223$.

For *(ii)*, use the rule that $\mathbb{P}(\text{at least one}) = 1 - \mathbb{P}(\text{no one})$. The resulting probability is $1 - C_5^0(1-0.145)^5 = 0.543$.

(c) First, note that the pmf is $f(x) = \dfrac{\lambda^x e^{-\lambda}}{x!}$, where $x \geq 0$ is an integer and λ is a positive constant. We have

$$M_X(t) = \mathbb{E}[e^{tX}] = \sum_{x=0}^{\infty} \frac{\lambda^x e^{-\lambda}}{x!} e^{tx} = e^{-\lambda} \sum_{x=0}^{\infty} \frac{(e^t\lambda)^x}{x!} = e^{-\lambda} e^{e^t\lambda} = e^{\lambda(e^t-1)},$$

where the fourth equality uses power series expansion of exponential function $e^x = \sum_{n=0}^{\infty} \dfrac{x^n}{n!} = 1 + x + \dfrac{x^2}{2!} + \dfrac{x^3}{3!} + \ldots$, which is valid $\forall x \in \mathbb{R}$.

(d) To compute any nth moment, differentiate the mgf w.r.t. t n times and evaluate the derivative at $t = 0$,

$$\mathbb{E}[X^n] = \frac{d^n M_X(t)}{dt^n}\Big|_{t=0}.$$

For our needs, we require the first and the second moment. We have

$$\begin{aligned}
\mathbb{E}[X] &= \frac{de^{\lambda(e^t-1)}}{dt}\Big|_{t=0} = e^{\lambda(e^t-1)}\lambda e^t|_{t=0} = e^{\lambda(1-1)}\lambda e^0 = \lambda, \\
\mathbb{E}[X^2] &= \frac{d^2e^{\lambda(e^t-1)}}{dt^2}\Big|_{t=0} = e^{\lambda(e^t-1)}\lambda e^t \lambda e^t + e^{\lambda(e^t-1)}\lambda e^t|_{t=0} = \lambda^2 + \lambda, \\
\text{var}\,[X] &= \mathbb{E}[X^2] - \mathbb{E}[X]^2 = \lambda^2 + \lambda - \lambda^2 = \lambda.
\end{aligned}$$

(e) Binomial probabilities can be approximated by Poisson probabilities (the latter are easier to calculate). Approximation is valid if n is large and np is small. To get the result, consider $X \sim \mathcal{B}(n, p)$ and $Y \sim \text{Poisson}(\lambda)$ with $\lambda = np$. The approximation is then defined as having $P(X = x) \approx P(Y = x)$ for large n and small np. Formally, we show the result if we show that their mgfs converge, thus having $F_X(u) = F_Y(u)$ for all u (see Theorem 2.3.11 in *Casella & Berger*).

Define $p = \dfrac{\lambda}{n}$, let $n \to \infty$, and look at the limit of $M_X(t)$,

$$M_X(t) = (pe^t + (1-p))^n = (1 + p(e^t - 1)])^n = \left(1 + \frac{\lambda(e^t-1)}{n}\right)^n \to e^{\lambda(e^t-1)} = M_Y(t),$$

where the limit uses the fact that $\lim_{n\to\infty}\left(1 + \dfrac{a_n}{n}\right)^n = e^a$ with $a = \lim_{n\to\infty} a_n$.

(f) Denote X the number of items with bubbles (low quality). Clearly, $X \sim \mathcal{B}(n = 3000, p = 0.001)$, so we are in the context where n is large and np is small. Thus, the Poisson approximation should be accurate. Then $\lambda = np = 3000 \cdot 0.001 = 3$ and $\mathbb{P}(X = 6) \approx \dfrac{\lambda^x e^{-\lambda}}{x!} = \dfrac{3^6 e^{-3}}{6!} \approx 0.0498 \cdot 1.0125 \approx 0.05041$. Using any statistical programming language, we can compute the exact probability, which is 0.050384.

Remark. Remember the usual interpretation of Poisson as the number of occurrences in a given interval for which the average rate of occurrences is λ (e.g. a student waiting for a bus at a bus stop).

Exercise 3.2. A random point (X, Y) is distributed uniformly on the square with vertices $(1, 1)$, $(1, -1)$, $(-1, 1)$, and $(-1, -1)$. That is, the joint pdf is $f(x, y) = \frac{1}{4}$ on the square.

(a) Determine the probabilities of the following events: *(i)* $X^2 + Y^2 < 1$, *(ii)* $2X - Y > 0$, *(iii)* $|X + Y| < 2$.

(b) Derive the marginal and the conditional densities of X. What would you conclude regarding the same densities of Y?

(c) A and B agree to meet at a certain place between 1 PM and 2 PM. Suppose they arrive at the meeting place independently and randomly during the hour. Find the distribution of the length of time A waits for B. If B arrives before A, define A's waiting time as 0.

Solution.

(a) The easiest way to proceed in this example is to invoke the geometric interpretation of events and probabilities and compare areas on a square. The total area is equal to $2 \cdot 2 = 4$.

For *(i)*, the condition is true only in a circle of radius one which can be summarized by the inequality $x^2 + y^2 \leq 1$. The area of this circle is equal to $\pi \cdot r^2 = \pi$. The the probability of the event will equal to the ratio of the area of the event (circle) to the total area (square). Thus, $\mathbb{P}(X^2 + Y^2 < 1) = \pi/4$.

For *(ii)*, the condition may be rearranged as $2x > y$. The corresponding area is the one below the line $y = 2x$. Due to symmetry (or using graphical argument) one can conclude that the area is exactly the half of the initial square. Thus, $\mathbb{P}(2X - Y > 0) = 2/4 = 1/2$.

(iii) is straightforward, because 2 is an upper bound for $|X + Y|$ when $X \in [-1, 1]$ and $Y \in [-1, 1]$. Thus, $\mathbb{P}(|X + Y| < 2) = 1$.

Exercise 3.3. Consider the following:

(a) Show that $\operatorname{cov}(X, c) = 0$ for any random variable X with finite mean and any constant c.

(b) Let X and Y be independent random variables with means μ_X, μ_Y and variances σ_X^2, σ_Y^2. Find an expression for the correlation of XY and Y in terms of these means and variances.

(c) Let X_1, X_2, and X_3 be uncorrelated random variables, each with mean μ and variance σ^2. Find, in terms of μ and σ^2, $\operatorname{cov}(X_1 + X_2, X_2 + X_3)$ and $\operatorname{cov}(X_1 + X_2, X_1 - X_2)$.

(d) Prove that for any random vector $(X_1, \ldots, X_n)$ the following holds:

$$\operatorname{var}\left(\sum_{i=1}^{n} X_i\right) = \sum_{i=1}^{n} \operatorname{var}(X_i) + 2 \sum_{1 \leq i < j \leq n} \operatorname{cov}(X_i, X_j).$$

Exercise 3.4. Consider the following:

(a) Let Z be a random variable with pdf $f(z)$. Define z_α to be a number that satisfies $\alpha = \mathbb{P}(Z > z_\alpha) = \int_{z_\alpha}^{\infty} f(z)dz$. Show that if X is a random variable with pdf $\frac{1}{\sigma} f\left(\frac{x - \mu}{\sigma}\right)$ and $x_\alpha = \sigma z_\alpha + \mu$, then $\mathbb{P}(X > x_\alpha) = \alpha$. (Thus if a table of z_α values was available, then values of x_α could be easily computed for any member of the location-scale family). Use

Theorem 3.5. *Let f be any pdf. Let μ be any real number, and let σ be any positive real number. Then X is a random variable with pdf $\frac{1}{\sigma} f\left(\frac{x - \mu}{\sigma}\right)$ if and only if there exists a random variable Z with pdf $f(z)$ and $X = \sigma Z + \mu$.*

(b) The average number of acres burned by forest and range fires in a large New Mexico county is 4300 acres per year, with a standard deviation of 750 acres. The distribution of the number of acres burned is normal. What is the probability that between 2500 and 4200 acres will be burned in any given year? What number of burnt acres corresponds to the 38th percentile? 87th percentile?

(c) *Smirnov transform.* Let X be a continuous random variable whose distribution function F_X is strictly increasing on the domain of X. Let $U = F_X(X)$ (transformation that applies $F_X(\cdot)$ to X). What is the distribution of U? How one can exploit this fact to simulate independent realizations of X?

Exercise 3.6. A point is generated at random in the plane according to the following polar scheme: a radius R is chosen, where the distribution of R^2 is χ^2 with 2 degrees of freedom; independently, an angle θ is chosen, where $\theta \sim \mathcal{U}(0, 2\pi)$. Find the joint distribution of $X = R\cos\theta$ and $Y = R\sin\theta$.